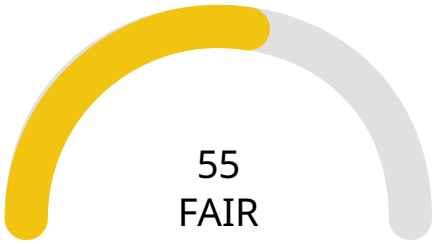
# LEU

Centrus Energy Corp. (NYSE)
As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

**$114.94** [Mkt 16-Oct-26]

Market Cap: $2.35B [Mkt 16-Oct-26]

## Attractiveness Score




Confidence: **Medium** (0 pillars excluded)

## Pillar Breakdown

### 1. Operating Quality — 55

Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead.

### 2. Recent Trend — 40

Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.

### 3. Forward Growth — 62

$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered.

### 4. Valuation — 58

DCF base $134.22 implies 17% upside; the market prices a 1% CAGR, below our 5% bear case, so pessimism is priced in. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.

### 5. Catalysts & Risk — 62

Q3 earnings Nov 4 and the year-end Oak Ridge centrifuge milestone are near-term positives. HALEU

prepayments fund the build without debt. Offset: dilution overhang from the September raise, DOE funding dependence, and contingent-backlog execution risk. Balanced, slightly positive.

## Investment Thesis

- **Only US HALEU Producer:** Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain.
- **Contracted Growth:** $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it.
- **Pessimism Priced In:** At $114.94 [Mkt 16-Oct-26], the market implies a 1% revenue CAGR, below our 5% bear case [DCF model]. DCF base $134.22 implies 17% upside. The stock is down 53% YTD mostly on dilution fears, not demand loss.

## Key Operating Metrics

| METRIC | LATEST | YOY CHANGE | 3Y TREND |
|---|---|---|---|
| Revenue (Q2 2026) | $176.1M [Q2 PR] | +14.0% [Q2 PR] | Up |
| Gross Profit (Q2) | $49.9M [Q2 call] | n/a [n/a] | Up |
| Net Income (Q2) | $16.8M [Q2 PR] | -41.9% [Q2 PR] | Down |
| Adj EPS (Q2) | $1.77 [Q2 PR] | -6.8% [Q2 PR] | Down |
| Backlog (thru 2040) | $4.5B [Q2 PR] | n/a [n/a] | Up |
| FY2026 Revenue Guide | $450-500M [Q2 PR] | ~+5% [Q2 PR] | Flat |
| FY2026 Capex Guide | $350-500M [Q2 PR] | n/a [n/a] | Up |

## Historical Financial Trend

| METRIC | FY22 | FY23 | FY24 | FY25 | TTM |
|---|---|---|---|---|---|
| Revenue | $293.8M [10-K FY22] | $320.2M [10-K FY23] | $442.0M [10-K FY24] | $448.7M [10-K FY25] | $473.9M [10-Qs] |
| Net Margin | 17.8% [10-K FY22] | 26.4% [10-K FY23] | 16.6% [10-K FY24] | 17.3% [10-K FY25] | 10.2% [10-Qs] |
| Free Cash Flow | $19.9M [10-K FY22] | $7.5M [10-K FY23] | $32.9M [10-K FY24] | $31.3M [10-K FY25] | n/a [n/a] |

## Valuation

### Absolute (5/10)

P/E (TTM) 29.2x [Mkt 16-Oct-26]
DCF Base $134.22 [DCF model]
PEG 2.87 [Mkt 16-Oct-26]

DCF implies 17% upside but 29x P/E is full for lumpy, government-tied earnings.

### Versus Peers (5/8)

Uranium peer multiples not sourced [n/a]

Scored neutral pending peer data.

### Versus History (6/7)

52wk high $464.25 [Mkt 16-Oct-26]
YTD -53% [Mkt 16-Oct-26]

Trading far below historical levels; the market prices below our bear case.

## Catalyst Timeline

**Nov 4, 2026** [Cons]
Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

**End 2026** [Q2 PR]
Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

**2027-2030** [8-Ks]
HALEU Commercial Ramp (Positive): X-energy, Radiant, Antares contracts with customer prepayments start delivering toward 2030.

## Top Risk Factors (Item 1A)

**1. Dilution and Capital Intensity:** ~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible. [8-K Sep 2026]

**2. Government Funding Dependence:** The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards and prepayments depend on federal budgets and policy priorities. [Q2 PR]

**3. Contingent Backlog:** About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to the Piketon expansion ($2.4B definitized). Delays in

## What Would Change Our Score

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($188); further equity raises or DOE funding cuts would test the bear ($92).

the build-out push contracted revenue further out. [Q2 call]

**4. Lumpy Revenue:** Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model. [10-Q Q2 2026]

## Forward Growth Drivers

- $900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity [Q2 PR]
- Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments [8-Ks]
- Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel [Q2 call]
- $4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions) [Q2 PR]

## Missing / Modified Data Log

- TTM gross margin not disclosed at quarterly level; used segment and annual figures.
- 2021 net margin (58.7%) included one-time items; excluded from trend narrative.
- Uranium peer multiples not sourced; peers valuation scored neutral.
- Short interest and options flow not used in scoring.

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**Not financial advice. For educational purposes only. Do your own research.**